

Case Study: UPI Payment Fraud

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What is it?

UPI fraud is when someone tricks you into sending money from your own account, making it look like you are receiving a payment. The attacker does not hack your phone or your bank. They just manipulate you into doing the transaction yourself.

What happened

Riya, a second-year student in Pune, posted her old laptop for sale on OLX for Rs. 18,000. A few hours later she got a call from a man who said he was an Army officer posted in Ladakh. He said he wanted to buy it immediately and would pay via UPI. He seemed genuine — he even sent what looked like a military ID on WhatsApp.

How the fraud worked, step by step

1. He asked for her UPI ID to send the payment.
2. He told her he had transferred Rs. 18,000 and asked her to check her UPI app.
3. A notification appeared on her phone showing Rs. 18,000 — it looked like an incoming payment.
4. He told her to enter her UPI PIN to confirm she had received the money.
5. She entered her PIN. Rs. 18,000 was immediately debited from her account.
6. The call dropped. He never picked up again.

Who gets targeted

Mostly first-time sellers on OLX, Quikr, or Facebook Marketplace. Students are a common target because many have not used UPI long enough to know the difference between a collect request and an actual incoming transfer. The fake military identity is a common trick — people are less likely to question someone they assume is trustworthy.

What happened after

Riya lost Rs. 18,000 in under a minute. Because she had entered her own PIN, the bank treated it as an authorised transaction and refused to reverse it initially. She filed a complaint on cybercrime.gov.in and called Helpline 1930. An investigation was opened but getting the money back took months, and was not guaranteed.

The one thing to remember

You do not enter your UPI PIN to receive money. Ever. A collect request sends money out of your account. If anyone tells you to enter your PIN to accept a payment, hang up.

Note: This is a realistic fictional scenario based on OLX Army officer fraud cases widely reported by The Hindu, NDTV, and Times of India between 2021 and 2024, and documented by the Indian Cyber Crime Coordination Centre (I4C).